

Political Determinants of Assertiveness in the World Trade Organization (1995-2019)

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Abstract

This paper analyzes the behavior of new democracies in the World Trade Organization, with an emphasis on the notion of assertiveness. This concept encompasses behavior in the Dispute Settlement Mechanism (DSM) as well as behavior within the arenas of Specific Trade Concerns (STCs) and Trade Remedies. We argue that new democracies favor Trade Remedies and STCs over the DSM because they are less costly, from a resources and reputational standpoint. Thus far, the literature has focused on the DSM, therefore leaving a gap with respect to less disputatious forms of engagement that we seek to fill out. The analysis mobilizes an original dataset and estimates the likelihood of new democracies' assertive behavior as a function of domestic political constraints and veto players. We use a Hurdle model to assess the likelihood of a new democracy engaging with the system and subsequently we use a probabilistic model to measure patterns of engagement. In both cases, constraints on the Executive are associated with more assertive behavior by new democracies in the WTO. We explain these findings by a dual logic of international trade. The multilateral trade regime fulfills demands for liberalization, but it also delivers private goods for a constrained leader and his coalition. The empirical analysis spans the years 1995 to 2019 and reports significant results for 54 countries that meet our definition of new democracies. The paper offers an original contribution to the literature on the role of domestic politics vis-à-vis international trade. It also sheds light on a group of member states – that of new democracies – and their particular pattern of engagement with the WTO.

Introduction

The Dispute Settlement Mechanism of the World Trade Organization has been at the center of the scholarly debate for several years. With the recent crisis of the Appellate Body, a renewed interest in the dynamics of state behavior in the WTO is noticeable. This paper contributes to this debate by analyzing mechanisms that run parallel to the WTO's Dispute Settlement Understanding (DSU) and share with it the task to liberalize trade. Some of these mechanisms were created together with the WTO, in 1995, others evolved alongside the GATT. These mechanisms were formalized at the end of the Uruguay Round by the Single Undertaking. Nowadays trade defense measures and specific trade concerns are an integral part of the trade liberalization framework. We argue, they are also key to resolve trade differences amongst WTO members. Moreover, these mechanisms are often more cost-effective and less disputatious. In fact, the Committee on Sanitary and Phytosanitary measures (SPS Committee) and the Committee on Technical Barriers to Trade (TBT Committee) have channeled trade differences quite successfully. According to Kateryna Holzer, only about 5% of the trade restrictive measures that came before the TBT Committee were subsequently litigated at the DSU (Holzer (2019)). The SPS Committee holds a similar record. Along the same lines, one of the prominent agreements that make up the trade defense measures toolkit, the Anti-dumping Agreement, is credited with resolving trade differences that otherwise could have escalated to formal trade disputes (Bohanes (2021)).

While the scholarship has produced knowledge on several aspects of the DSU, for instance, on patterns of disputatious behavior between developed and developing countries (Lee (2019); Davis and Bermeo (2009); Busch and Reinhardt (2003)), and the impact of disputed-issue characteristics (Simmons and Guzman 2002), little has been done on the political determinants of disputatious behavior going beyond the DSU per se. This paper contributes to filling the gap by introducing the notion of assertiveness. This behavior is arguably more comprehensive than the traditional ways whereby states engage with the DSU, namely, through requests for consultations and the other quasi-adjudicatory mechanisms available (panels, appeals, compliance panels, arbitration panels). Assertiveness encompasses not only behavior within the DSU, but notifications under the Committee on Sanitary and Phytosanitary Measures and notifications under the Committee on Technical Barriers to Trade as well; it also comprises trade defense measures (anti-dumping, safeguards, and countervailing measures).

The paper builds on research that revealed the importance of domestic politics for the choice of trade policy instruments (Naoi (2009)) as well as for the option to engage with international adjudication at the WTO (Rosendorff and

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Smith (2018); Davis and Shirato (2007)). We believe domestic political characteristics influence states' level of assertiveness in the WTO in ways that cannot be completely captured through an investigation of DSU-related behavior alone. The paper describes patterns of assertiveness amongst member states and proposes an explanation for the domestic politics cleavage uncovered by the analysis. We provide a political explanation for the variation in levels of assertiveness among WTO members. This explanation is driven by the conjecture that domestic constraints matter. Political competition within newly democratizing polities is expected to lead them towards higher levels of assertiveness in the WTO. We argue that this outcome can be explained by the role of domestic political competition and the presence of veto players.

Trade Disputes in the WTO

The literature on the World Trade Organization has produced several qualitative and large-N studies that analyze member states' behavior in the WTO Dispute Settlement Mechanism. Several puzzles associated with the operation of the Dispute Settlement Understanding motivate this literature, adding to an ever-growing body of knowledge. One of these puzzles asks why WTO members enter Preferential Trade Agreements (PTAs), and why at that moment in time (Faude (2020); Hollyer and Rosendorff (2011); Busch and Reinhardt (2003); Mansfield and Reinhardt (2003); Mansfield et al. (2002)). These questions are particularly relevant because the growing trend toward PTA negotiation impacts the reputation and relevance of the WTO, as PTAs can be at odds with the goal of principled liberalization that the WTO embodies. The paper also engages with work by Mavroidis and Sapir (2015), who find a correlation between the negotiation of PTAs and decreased disputatious behavior in the WTO. The authors observe that as the U.S. and the E.U. negotiate new PTAs, the number of disputes between them and their respective PTA partners in the WTO decreases.

Thus far, the scholarship has concentrated on the DSU to the detriment of other multilateral trade policy mechanisms available through the WTO regime. One notable exception is work by Horn, Mavroidis and Wijkström, for whom the focus on the Dispute Settlement system may underestimate the role of the organization itself, as an instance to resolve disputes. The authors argue that behavior within the SPS and TBT committees deflates potential disagreement that might in the future escalate to formal disputes; to that end, the opportunity to raise 'specific trade concerns' is "akin to an informal form of resolution of trade conflicts" (Horn et al. (2013), 730). The analysis covers all such 'specific trade concerns' (STCs) raised between 1995 and 2012, to reveal, via descriptive statistics, patterns of proposition amongst WTO members as well as the relationship between behavior at the committee level and behavior at the DSU. The authors argue that the relatively small number of WTO disputes involving SPS and/or TBT as a core legal issue is evidence of the dispute resolution properties of the STC system (Horn et al. (2013), 743). More recently, Holzer (2019) confirms that the TBT Committee is an effective instance to negotiate differences related to technical barriers among trading partners. The article discusses the STCs arena

as a "trade tension resolution mechanism", and in doing so, goes beyond the TBT Committee per se. According to Holzer (2019), the STC mechanism could be a viable alternative to the gridlocked WTO dispute settlement framework.

The task to extrapolate from the DSU does not end with the inclusion of 'specific trade concerns,' but rather entails an investigation of member states' use of trade defense instruments. These comprise anti-dumping, safeguards and countervailing measures. Thus, we extend Horn et al. (2013) and Holzer (2019) analyses and propose the notion of assertiveness, which captures member states' behavior at three distinct arenas: 1) the DSU itself; 2) the SPS and TBT committees; and 3) the trade defense notifications arena. The paper proceeds to analyze patterns of assertiveness amongst WTO members and reveals some interesting cleavages. First, there clearly emerges a political regime cleavage: newly democratizing polities have become more assertive in the WTO. This finding is explained by the role of domestic political constraints (more below).

The analysis builds on prior research by:

1. concentrating on a group of countries that are understudied;
2. taking a broader view of their behavior in the WTO.

The paper looks for domestic reasons for the observed variation in levels of assertiveness. Following the important contribution of the literature with respect to the role of veto players (Mansfield and Milner (2012)), we incorporate veto players in our analysis, but also investigate the impact of two other explanatory variables: political globalization and political competition. Christina Davis' analysis of domestic constraints on the autonomy of the executive was a stepping-stone for our thinking about the role of domestic institutions with respect to states' assertiveness in the WTO (Davis (2012)). Whereas her analysis focuses on the WTO Dispute Settlement Mechanism, our paper goes beyond the DSM to look for evidence of assertiveness at the committee level (SPS and TBT committees) and through states recourse to trade defense instruments (anti-dumping, safeguards and countervailing measures).

The empirical analysis offers an investigation of the role of political competition and the presence of veto players in explaining member states' level of assertiveness in the WTO. The paper proceeds as follows: The next section discusses participation and assertiveness in the WTO, from the perspective of the International Economic Law and International Political Economy scholarship. A section on research design enunciates our hypotheses and contextualizes these hypotheses in the broader literature on WTO dispute settlement; this section also presents descriptive evidence of assertiveness in our study. This is followed by a discussion of data and methods, where we introduce our measure of assertiveness, our two independent variables of interest, and a group of control variables that we mobilize in the empirical analysis; data sources and the model per se are discussed here as well. The following section interprets the statistical results, and a final section concludes.

Participation and Assertiveness in the WTO

This paper focuses on the notion of assertiveness. We claim that when members of the WTO use the system they reaffirm its relevance and possibly its legitimacy as well (Bodansky (2012)). We are particularly interested in assertiveness by new democracies, because we believe that PTAs negotiated since the creation of the WTO may have impacted the balance that developing countries negotiated vis-à-vis the multilateral trading system. Developing countries, and new democracies among them, saw in the WTO the promise of a leveled playing field, where trade liberalization could be pursued on a non-discriminatory basis¹. As the proliferation of PTAs challenged this promise, new democracies would have engaged in more assertive behavior to signal their commitment to the WTO. To that end, we distinguish between assertiveness and participation in the system.

Traditional View

There is a large scholarship on participation in the Dispute Settlement Mechanism (DSM), but not much has been written on assertiveness. Our focus on assertiveness accounts for participation by states in the DSM, but it goes beyond that in order to account for state action that provokes the system but does not amount to disputatious behavior. One of the reasons for incorporating instances of assertive behavior that are non-disputatious in nature has to do with the fact that states often face a trade-off between the costs associated with adjudication in the WTO and the likelihood of securing a favorable outcome. When the costs outweigh the benefits, we may still observe assertive behavior at the committee level, wherein states become more vocal in the SPS Committee and the TBT Committee, in spite of the absence of litigation. The same logic applies for trade defense measures. This pattern of participation is most relevant for developing countries, because of their limited capacity to litigate the system (Lee (2019)).

In carrying out this investigation, we were surprised by how little has been done on the notion of assertiveness. On the other hand, the literature on state participation in the WTO is prolific. This literature is dominated by large-N studies that uncovered challenging paradoxes and recurrent dynamics. There is a traditional view expressed in the literature that concentrates on international mechanisms and focuses on explaining state behavior as a consequence of power and economic dynamics. Early work by Horn, Horn et al. (1999) analyzes the rationale associated with disputatious behavior in the WTO. They observe that states with a diverse export sector and higher per capita GDP bring more disputes to the system. Work by Davis and Bermeo (2009) addresses a similar question, and concludes that the WTO remains heavily influenced by power asymmetries. This article also finds that the lack of legal capacity constitutes one of the most important impediments for developing country participation in the DSM. Simmons and Guzman (2002) operationalize a power hypothesis and a capacity hypothesis, and conclude that low-income states tend to file against high-income states because there is more at stake in these disputes, as opposed to disputes between developing countries. Legal capacity is also at the center of research by Busch et al. (2009), which makes significant

progress when it comes to measuring legal capacity. The authors present evidence from surveys, which reveal that developing countries fail to file complaints due to their lack of legal capacity in 67% of the cases covered by their study. Reinhardt and Busch argue that developing countries had not secured better concessions under the WTO system, when compared to the GATT years Busch and Reinhardt (2003).

More recently, work by Hyo Won Lee revisited the capacity argument using an econometric analysis and mobilizing more recent data (up to 2014). The article tests the "economic capacity" hypothesis against the "legalization" hypothesis, according to which the harder legal obligations embedded in the WTO system would have leveled the playing field for developing countries. The results confirm that developing countries have used the system more often after they have had the opportunity to socialize within the new legal framework. Thus, the number of disputes filed by developing countries increases, but only during the second half of the WTO years (2004-2014). The article suggests that developing countries require familiarity with the system, which is captured by the analysis via a measure of "previous submission." Once a developing country has submitted a WTO dispute, it is more likely to submit other disputes. The same trend is present in the data that covers the GATT years, where a similar movement toward more legalized dispute settlement developed Lee (2019).

A subset of the scholarship on participation analyzes the impact that the institutional changes enacted in 1995, with the creation of the WTO, has had on participation – especially participation by developing countries². To that effect, work by Busch and Reinhardt (2003) compare the level of concessions to developing countries under the WTO, in contrast to those granted under the GATT. They conclude that because the WTO system is somewhat more averse to settlement during the consultations stage, and because developing countries are less apt to strike favorable compromises before a panel is established, these countries fail to secure more concessions in the new system. Earlier work by the same authors had already analyzed the consequences of increased legalism for bargaining (Busch and Reinhardt (2000)). This article discounts the implications of the major institutional reform of 1995 (and before that, the one of 1989), to report that the record of early settlement and the patterns of compliance did not change during the early WTO years, if compared to GATT's record. The analysis covers the period 1948 to 1999 and reveals that throughout this time period, democracies remain less likely to comply with an adverse ruling. Alter (2003) expresses a critical view of the same institutional reforms, and presents evidence of the new system's inability to resolve disputes with examples of protracted cases, such as the Beef Hormones ("DS26 - European Communities — Measures Concerning Meat and Meat Products") and the Bananas disputes ("DS27 - European Communities — Regime for the Importation, Sale and Distribution of Bananas"). The revised dispute settlement procedures that entered into force with the WTO did not seem to have substantively altered the set of incentives states confront until almost twenty years after it entered into force; as a result, states' disputatious behavior remained similar to the record during the GATT years for a while, after the WTO became reality.

This literature has exhaustively discussed the role of power and the impact of economic characteristics on states' propensity to bring disputes to the WTO – or what we label participation. A segment of this literature has also investigated whether the institutional context that emerged with the creation of the WTO has had any noticeable impact on patterns identified during the GATT years. Underlying the contribution of this scholarship, there is an explicit concern with developing countries, a category akin to that of new democracies that are the focus of the present study.

To complete the picture of developing countries in the WTO scholars have seized the problematic relationship between the proliferation of PTAs and states' behavior in the DSU. An initial effort to map PTAs negotiated by the EU and the US (Horn et al. (2010)) was followed by a more direct analysis of the impact of PTA negotiation by the two major trading partners and the record of WTO disputes between each and their respective PTA partners (Mavroidis and Sapir (2015)). The authors conclude that the negotiation of PTAs after the creation of the WTO in 1995 has markedly reduced the number of disputes amongst countries that belong to the same trade agreement. The authors foresee several reasons to account for this phenomenon. Regardless of the rationale for the observed reduction in disputatious behavior in the aftermath of PTA negotiation, which Mavroidis and Sapir do not explore in their 2015 article, this empirical finding raises concerns for the WTO and for weaker parties – both within and outside PTAs (Mavroidis and Sapir (2015), 361).

Missing in this research agenda is a broader view of participation, which we henceforth propose to call assertiveness. By that we mean behavior that goes beyond the filing of disputes and requests for consultations, to engage with the WTO committees, such as the SPS Committee and the TBT Committee, and side agreements, for instance, the Agreement on Anti-dumping, the Agreement on Subsidies, the Agreement on Safeguards and Countervailing Measures³. Also absent is a systematic preoccupation with the role of domestic politics, in particular the influence of domestic political constraints on behavior by users of the system. Work by Davis (2012) sought to fill this gap. We follow her trail to deepen the analysis of domestic constraints and to broaden the investigation in order to account for behavior that goes beyond participation.

Domestic Institutions Model

Davis (2012) has shifted the focus of the analysis to incorporate domestic politics as an essential piece of the explanation of patterns of adjudication in the WTO. She enlists three main reasons that states take into account when deciding whether to bring a request for consultations forward or not: the costs associated with legal preparation of the case, diplomatic relations, and risk of a legal precedent. These costs have implications for international as well as domestic politics, and within the latter, Davis argues that constraints on executive autonomy are the main reason for states' recourse to adjudication. The higher the level of these domestic constraints, the more likely states are to turn to adjudication in the WTO and send a costly signal of their commitment to domestic groups (Davis (2012)).

As we explain in more detail below, we borrow from Davis' intuition and expect a direct relationship between the

presence of domestic constraints and assertiveness by new democracies. Our analysis of domestic constraints comprises political competition and the presence of veto players. A broad interpretation of Davis (2012) empirical analysis of eighty one WTO members and their litigious behavior between 1975 and 2004 shows that countries with more checks and balances (her measure of domestic constraints on executive autonomy) are 27 percent more likely to file one or more cases in a given year (Davis (2012), 83).

Rosendorff (2015) analyzes the role of domestic politics in international trade disputes, highlighting the link between this international dimension of a government's trade policy and the leadership's concerns with political survival. To that effect, the author sees preferential trade agreements (PTAs) as one more tool at the hands of the leadership, which at times may shift away from multilateral fora such as the WTO, toward more privileged arenas of negotiation like PTAs, because of electoral cycle demands. Domestic politics is not only taken into account, but at times it leads to deviation from obligations that states entered into under the WTO regime and even under PTAs. To that end, agreement flexibility increases the ex ante attractiveness of multilateral legal commitments, by foreseeing the need for and incorporating mechanisms that enable temporary derogation.

Work by Rosendorff and Smith (2018) focuses on the onset of trade disputes and explores the role of leadership change. The authors propose a formal model to account for the incentives to shift trade protection once a new leader comes to power, which - in turn - generates friction and increases the probability of a new dispute to challenge the newly imposed trade barrier. The analysis expects leadership change in autocracies to be associated with more disputes, because of the nature of the coalition that supports the leader and the concentrated nature of the benefits that are mobilized to reward coalition members. The econometric analysis supports several hypotheses derived from the model and confirms that leadership change is associated with increased onset of WTO disputes; moreover, this empirical regularity is stronger in autocracies (Rosendorff and Smith (2018)).

According to these authors, domestic politics is a key variable in the explanation of international trade policy, including states' pattern of disputatious behavior in the WTO. They discuss the role of regime type, and advance several propositions with respect to democracies, autocracies and the DSM. A case study of the US and a brief analysis of the Brazilian record of WTO disputes after the transition toward democracy in 1985 confirm the dynamic between Congress and the Executive, in the American case (Davis (2012)). It also suggests that the move toward democracy is often accompanied by increased presence in the DSU, with the 34 disputes filed by Brazil between 1985 and 2004 as an example (Davis (2012), 64). Davis goes on to explain that it is precisely the checks on executive autonomy that influence trade policy choices, including the option to engage in more international litigation.

Our Contribution

This project departs from the findings by Davis (2012), Rosendorff (2015), and Rosendorff and Smith (2018) with respect to states' recourse to international adjudication in the

WTO and deepens the analysis by looking into a broader research category – assertiveness, and by including other aspects of domestic politics not covered by the scholarship. The analysis is framed by an overarching question: whether new democracies display a distinct pattern of behavior vis-à-vis established democracies, as evidence of a dual logic of international trade.

The analysis of trade policy within new democracies deserves special attention given the volatility of these regimes. We argue that the political instability and the institutional fragility that prevails among countries that underwent a recent transition from authoritarian rule may have consequences for trade policy. Political uncertainty and weak institutions shorten the leadership's time horizon and may as well influence how leaders discount the future. The impact of executive constraints may be harsher on new democracies, if compared to established ones. Thus, careful investigation of domestic institutions may be even more important for the explanation of new democracies' international trade policy choices.

Our intuition regarding assertiveness by new democracies borrows from Andrew Moravcsik's logic with respect to delegation to international human rights institutions (Moravcsik (2000)). After presenting new democracies' counter-intuitive observed preference for binding jurisdiction and for the right to individual petition during the negotiation of the European Convention on Human Rights (1950-1953), Moravcsik argues that this outcome is best explained by new democracies' skepticism toward the future. Leaders in these polities choose to "lock in" some of the gains from the democratization process – for instance, higher levels of human rights protection – by engaging in greater delegation to regional institutions.

In trade policy parlance, higher levels of delegation to the WTO insulate leaders from domestic pressure to alter their commitment to a winning coalition's preferred policy as time goes by. Shifting winning coalitions are commonplace within newly democratizing polities, which represents a significant threat to political survival (Bueno de Mesquita et al. (2003)). Faced with electoral rules that, especially in Presidential systems, limit the Executive's ability to update in a timely manner, leaders may choose to maximize their political survival by strengthening the original winning coalition that brought them to power. One way to accomplish this goal is to defend this coalition's interests with resolve, and assertiveness in the WTO sends a costly signal to that effect.

Thus, according to our argument, new democracies' choice for international adjudication follows a slightly different logic than that of established democracies, as presented by Davis (2012). A key distinction between the two groups of countries lies in their respective levels of political uncertainty and institutional fragility. In fact, political uncertainty plays such a prominent role in new democracies that we expect their level of assertiveness to be substantively higher than that of established democracies. Moreover, due to technical capacity limitations and risk aversion, we anticipate that new democracies will privilege less costly ways to signal resolve to their winning coalitions, for instance via forms of assertiveness that are less disputations in nature. Recourse to trade defense instruments

features prominently as cost-effective ways to protect special group interests. In light of the above, we propose the following research questions, which will be further specified in next section:

Are new democracies more assertive in the WTO?

Do new democracies privilege less costly forms of assertiveness?

The paper proposes two explanations for new democracies' greater level of assertiveness over time: political competition and veto players. We now turn to a discussion of the role of each explanation and our expectations, and the proposed measure to capture the effect of these independent variables. Political competition refers to various forms of constraints on the Executive, with a focus on trade policy. We argue that when the Executive faces hurdles to enact its preferred policy domestically, recourse to the multilateral trade regime emerges as an escape valve. This is particularly noticeable in new democracies, because political instability at the domestic level is omnipresent. Assertiveness in the WTO will afford a highly constrained Executive the opportunity to secure preferred policy outcomes for its winning coalition that would be unattainable otherwise. Our focus is on political constraints vis-à-vis the relationship between the Executive and the Legislative, thus we work with three aspects of domestic institutions that count toward our measure of political competition:

1. the number of seats the government has in the legislature;
2. legislative fractionalization;
3. the percentage of votes of the government in the legislature.

We argue that these three aspects are a good proxy for the challenges that the Executive encounters to govern and ultimately to reward its winning coalition in order to remain in power. We expect that greater challenges domestically are met with higher levels of assertiveness at the WTO.

The influence of veto players domestically mirrors the impact of political constraints on the Executive, as applied in this paper. We foresee veto players to be a more static constraint over time, as the measure is more directly associated with institutional constraints than it is with political ones (Henisz (2000)). Polities where the rule of law prevails impose checks on policy proposal and implementation that may restrain the Executive's ability to react in an efficient way to challenges to political survival. Given this limitation to operate at the domestic level, leaders would turn to international political means to reward coalition members. Thus, we expect the presence of veto players domestically to be associated with higher levels of assertiveness in the WTO.

In order to capture behavior by new democracies in the WTO, we create a measure of assertiveness that has three overall dimensions:

- Assertiveness 1 encompasses behavior vis-à-vis the Dispute Settlement Understanding;
- Assertiveness 2 refers to behavior in the SPS, and the TBT committees (also known as Specific Trade Concerns - or STCs);

- Assertiveness 3 includes behavior with respect to the agreements on anti-dumping, safeguards and countervailing measures⁴

We conduct statistical analyses on original data collected to measure these three dimensions of assertiveness separately, analyze and report these results below⁵. To better gauge the impact of our proposed explanations, we use several control variables. These are grouped into institutional controls, social controls, and economic controls, as follows:

1. Institutional controls: Proportional representation, political regime and Political Risk;
2. Social controls: Globalization, government expenditure on education, and military expenditure;
3. Economic controls: Trade as a percentage of GDP, exports as a percentage of GDP, FDI, economic growth, crop production index and the importance of fuel exports in the economy.

The next section describes the research design, advances our hypotheses, and presents the data.

Research Design

In order to capture the impact of our explanatory variables on new democracy's level of assertiveness in the WTO, we had to settle on who counts as "new democracies," for the purposes of this study. Using data from the Varieties of Democracy Project (VDem), we selected a group of countries that have been democratic for more than 25% but less than 75% of the time, between 1950 and 2019 (Marshall et al. (2015)). These criteria led to 33 countries, who count as new democracies, for our purposes. We create a categorical variable that equals one for all 54 new democracies identified according to the above criteria; all other countries in our sample – autocracies and established democracies – are labeled zero. The dataset that contains information on assertiveness presents observations for all 163 WTO members, as of December 2024, and incorporates these countries as they enter the WTO agreements as original members in 1995, or accede to the regime thereafter.

The goal of exploring the influence of domestic political constraints on assertiveness in the WTO implicates, as a trade off, that we cannot analyze instances when the EU engages with the regime, as data on domestic political constraints is simply not available at the aggregate level. Nor would it be plausible to compare an economic bloc with a unique supranational agenda, with regular WTO member states. As a result, instances where the EU appears on the active side of the assertiveness equation are excluded from the analysis. This may as well bring a bias to our analysis, but because we still have sufficient variation in the sample, as section V below demonstrates, we are convinced that behavior by new democracies is adequately captured by the research design that this paper embraces.

Data on assertiveness was retrieved from the WTO website and covers the period 1995 to 2019. We chose to aggregate the data on three separate measures of assertiveness, because from a mathematical standpoint, it is difficult to compare behavior in the DSU and at the committee level with instances of trade defense. There are simply many more

trade defense episodes on a yearly basis, when compared to yearly observations on requests for consultations, requests for panels, appeals, compliance and arbitration requests, together with notifications under the SPS Committee and the TBT Committee .

With the goal of exploring the impact of domestic political constraints and veto players on new democracies' level of assertiveness in the WTO, we propose the following hypotheses:

- H1 As the level of political competition domestically rises, new democracies engage in more assertive behavior in the WTO;
- H2 The presence of veto players domestically increases the level of assertiveness by new democracies in the WTO.

Given the nature of our dependent variable, we estimate a Hurdle model, which consists of two phases: first we estimate the probability of observing a change in our dependent variable from zero to one. Subsequently, we use a count model to measure the impact of changes in our independent variables on the observation of a change in units of the non-zero observations of the dependent variable (Hilbe (2014)). The model follows this specification:

$$\begin{aligned} \text{Assertiveness}_{1/2/3} = & \beta_1 X + \beta_2 \text{NewDemocracy} + \\ & \beta_3 (X \times \text{NewDemocracy}) + \\ & \beta_4 \text{InstControls} + \beta_5 \text{EconControls} + \\ & \beta_6 \text{SocialControls} + \alpha + \varepsilon \end{aligned} \quad (1)$$

where X alternatively represents Veto, Political Constraints, or Electoral Competition.

We run separate regressions for Assertiveness 1, Assertiveness 2, and Assertiveness 3. For both variables, the models follow a unitary logic, whereby the level of assertiveness – we posture – is a function of political competition and veto players. As mentioned earlier in this section, we apply a set of institutional, social, and economic controls. The remainder of this section explores the indicators and source of our explanatory variables, details the rationale for inclusion and the source of the control variables, and presents descriptive statistics for our measures of assertiveness.

The two aspects of political competition that we capture are:

1. the number of seats the government has in the legislature;
2. the percentage of votes of the government in the legislature.

We argue that these indicators offer a good proxy for the level of hardship encountered by the Executive to enact and to implement its preferred policies. The first indicator is the percentage of government seats as a share of the total number of seats in the legislature. The second indicator is the total vote share of all government parties in percent.

Our measure of veto players captures whether, if the head of state took actions to veto a piece of legislation, would

he/she be likely to succeed? — By "veto", we mean either a partial veto (concerning any parts of a bill) or package vetoes (concerning whole bills) of bills that have already been passed by the legislature. The question refers to whether the head of state is considered to hold this power in practice, regardless of whether this is regulated by law and whether this power has been exercised or not.

Control variables range from institutional, to social and economic. Inclusion of these controls will ensure that the observed rise in assertiveness does not follow from fluctuation on institutional characteristics, nor is it the result of shifts in economic or social indicators. Institutional control variables include democracy and proportional representation. The democracy scale ranges from 0-10 where 0 is least democratic and 10 most democratic. These variables are averaged into *fh_polity2*. Proportional representation (PR) is a dummy variable that equals 1 if PR is used as an electoral rule to select any candidate in any house. Data come from the Database of Political Institutions (Beck et al. (2001)); years: 1975-2019. Moreover, we control for political risk (source of the data: The PRS Group et al. (2024), an indicator of Quality of Government).

Social controls include globalization, government expenditure on education (total, as a percentage of GDP), and military expenditure (total, as a percentage of GDP). Data come from the World Bank. Economic controls: Trade as a percentage of GDP, exports as a percentage of GDP, FDI, economic growth, crop production index and the importance of fuel exports in the economy. Economic controls include total trade, as a percentage of GDP, exports as a percentage of GDP, FDI, economic growth, the crop production index and the importance of fuel exports in the economy. Data on FDI, per capita GDP (growth), and military expenditure come from the World Bank.

We also incorporate globalization as a control. One would expect countries that are more exposed to globalization to engage more directly and efficiently with the multilateral trade regime. One explanation for this propensity to use the system, which here would be captured by higher levels of assertiveness, follows from these countries' accumulated technical capacity as well as from the net value that they associate with international adjudication in general. Globalization is measured by the number of embassies and high commissions in a country, the number of international organizations of which the country is a member, the number of UN peace missions the country has participated in, and the number of international treaties that the country has signed since 1945⁶. The next section presents the results and discusses some properties of the model.

Figure 1 displays the distribution of our dependent variables, documenting the preponderance of zeros in the dataset. This confirms that assertive behavior by new democracies in the WTO is not a frequent event; moreover, once a new democracy crosses this threshold, the subsequent pattern of engagement with the system is not uniform. Our analysis seizes these characteristics in order to offer an original first portrait of assertive behavior by new democracies in the WTO – looking beyond the Dispute Settlement Mechanism, as we have explained above.

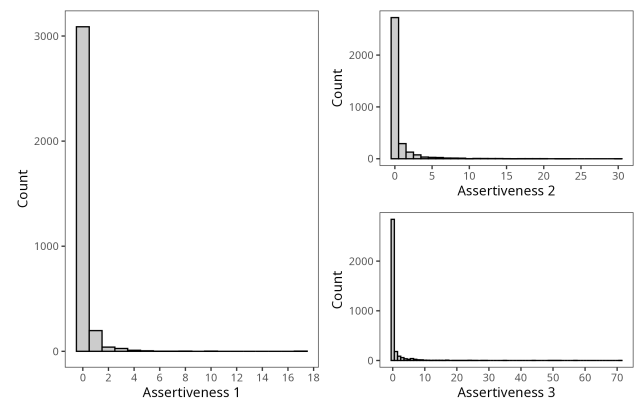
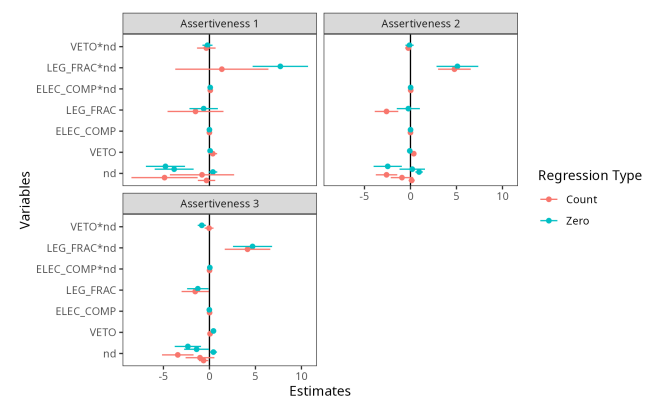


Figure 1. Distribution of the dependent variables



Control variables were omitted from the figure. Full regression results are reported in the Appendix.

Figure 2. Hurdle Model Results

Empirical Evidence

The econometric analysis confirms the role of domestic political constraints in explaining assertiveness by new democracies in the WTO. The results reveal the impact of legislative fractionalization both on the probability of a new democracy engaging in assertive behavior and subsequently on the pattern of assertiveness. New democracies that confront a fractioned legislature are more likely to engage with the WTO; they are also more likely to engage in behaviour that counts as assertiveness afterwards, once they have first engaged with the system.

Our measure of veto players did not yield significant results. The control variables behaved as expected, confirming that our modelling strategy is correct. Figure 2 displays the main relevant outcomes for the dependent variable, showcasing the results for the interaction of new democracies with the three indicators of our independent variables. Note that our results are robust for both stages of the Hurdle model. Moreover, they are significant across the three measures of assertiveness that we mobilize in our analysis.

These results confirm our hypotheses that new democracies become more assertive in the WTO, as the level of political constraints increases. This is particularly true for legislative fractionalization, as an indicator of constraints on Executive behavior. These results hold steady for our three measures of assertiveness, which translate into greater engagement with the Dispute Settlement Mechanism (Assertiveness 1), as well as with the arena of Specific Trade

Concerns (Assertiveness 2), and trade defense measures (Assertiveness 3).

At this stage we could not confirm our second hypothesis about the impact of veto players on assertive behavior by new democracies in the WTO. We believe that there are better indicators of veto players than the one currently used in the empirical section. When constructing our dataset, we ran into data availability constraints – mostly with respect to time span. However, we remain firmly convinced that legislative fractionalization is a strong predictor of constraints on Executive behavior. This is in line with prior research establishing that the process of democratization is not complete until after multiparty competition is attained. This is in contrast to the two other dimensions of democracy proposed by the Polity Project: 1) openness of Executive recruitment, and 2) competitiveness of Executive selection. [Bueno de Mesquita et al. \(2005\)](#) find that it is not until after constraints on the Executive are fully in place, as evidenced by multiparty competition, that the process of democratization reaches its full potential.

Finally, there is some evidence that new democracies privilege less disputatious forms of engagement with the WTO once they have crossed the threshold of assertive behavior. Figure 2 above also suggests that the impact of political constraints on assertiveness is distinctly higher for Assertiveness 2 and 3, confirming our intuition that these countries prefer to shy away from confrontational adjudication in the WTO.

Conclusion

In this paper we set out to investigate empirically whether new democracies display a greater level of assertiveness over time. Our analysis innovates by conducting a rigorous selection of countries that qualify as new democracies for the purposes of this study. We settle on fifty four new democracies for whom we were able to observe behavior in the WTO for the period 1995-2019. The second innovation is the proposed measure of assertiveness, in its three dimensions: assertiveness as engagement with the Dispute Settlement Body, the SPS Committee, and the TBT Committee, and assertiveness in the form of notifications of trade defense measures to the WTO. We build a new dataset, which contains information on requests for consultations, requests for a panel, appeals, requests for arbitration, requests for compliance panels, notifications under the SPS and TBT committees, and instances of trade defense (antidumping, safeguards, and countervailing measures).

Our empirical results confirm findings from prior research (Davis 2012), which identify a direct relationship between domestic political constraints and recourse to international adjudication in the WTO. Our results document the same relationship with respect to this broader form of participation in the WTO, which we label "assertiveness." We test two hypotheses that look more directly at the impact of constraints on Executive autonomy in new democracies, and the relationship between these constraints and levels of assertiveness in the WTO. Our hypothesis related to legislative fractionalization as an indicator of political

constraint on the Executive is confirmed across the three dimensions of assertiveness.

Two explanations are offered to account for the observed trend toward greater assertiveness over time. We argue that political competition and veto players play a prominent role in accounting for the observed higher levels of assertiveness. We embraced a rigorous approach to the statistical analysis, using a hurdle model given the nature of our dependent variable. Similarly, we approached the measurement of our independent variables, as well as the control variables mobilized in the analysis, with the goal of finding data that would best capture the dynamic of behavior that we sought to analyze.

As we see it, the findings in this paper invite a more general investigation of patterns of assertiveness by new democracies in WTO, perhaps via further disaggregation of data. We would also like to compare behavior by new democracies to that of established democracies in a more nuanced format, for instance, through alternative model specifications. These are natural venues to expand the research presented here. Efforts in the direction of selecting a small number of cases that could guide further analysis of the mechanisms at play constitute a natural place to expand this research agenda. This paper contributes to the massive scholarship on the political economy of international trade by calling our attention to the dual nature that informs the relationship between developed countries and new democracies, and by highlighting the impact of domestic political constraints beyond adjudication per se.

Notes

1. For a comprehensive review of the literature on democratization and trade policy see [Mukherjee \(2015\)](#).
2. The WTO reversed the consensus rule that existed under the GATT to require a veto by all member states in order to block adoption of a final decision in a trade dispute. It also established a second instance of adjudication, with the creation of a standing Appellate Body. In 2001, the system also benefited from the creation of the WTO Advisory Center, in Geneva.
3. An isolated contribution on the topic of anti-dumping is work by [Kucik and Reinhardt \(2008\)](#), where the authors find evidence that flexibility provisions, of which the Agreement on Anti-dumping is a prominent example, produce more cooperation in the WTO.
4. GATT members produced three agreements during the Uruguay Round that sought to further regulate states obligations under certain GATT provisions, as follows. The so-called Agreement on Anti-dumping regulates circumstances when states can impose anti-dumping measures, further clarifying the obligation contained in Art. VI of the GATT. In its official title: Agreement on Implementation of Article VI of the General Agreement on Tariffs and Trade 1994. The Agreement on Safeguards provides "rules for the application of safeguard measures which shall be understood to mean those measures provided for in Article XIX of GATT 1994 (Art 1)." The Agreement on Subsidies and Countervailing Measures defines subsidies and other forms of price support, expanding on the discipline contained in GATT Art. XVI.
5. Replication files are available at <https://github.com/caiorios/assertiveness-replication-material.git>

6. Source: KOF Index of Globalization - Dreher (Dreher (2006); Dreher et al. (2008)). Years: 1970-2019

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Appendix

Table 1. Zero-Truncated Negative Binomial

	Dependent variable:								
	ASSERT1			ASSERT2			ASSERT3		
	M1	M2	M3	M4	M5	M6	M7	M8	M9
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)
VETO	0.366 (0.241)			0.357*** (0.090)			0.067 (0.109)		
ELEC_COMP		−0.004 (0.015)			−0.001 (0.008)			0.015 (0.009)	
LEG_FRAC			−1.514 (1.550)			−2.605*** (0.653)			−1.546** (0.756)
nd	−0.316 (0.481)	−4.879*** (1.836)	−0.808 (1.781)	0.131 (0.171)	−0.925 (0.621)	−2.602*** (0.595)	−0.638** (0.255)	−1.027 (0.798)	−3.441*** (0.874)
DEMOCRACY	0.018 (0.089)	−0.035 (0.089)	0.009 (0.095)	0.133*** (0.046)	0.137*** (0.050)	0.131*** (0.046)	0.084* (0.043)	0.033 (0.051)	0.115*** (0.043)
PR	−0.038 (0.475)	−0.523 (0.364)	−0.242 (0.411)	−0.163 (0.185)	−0.658*** (0.149)	−0.446*** (0.148)	−0.690*** (0.249)	−0.752*** (0.244)	−0.406* (0.233)
EXP_EDUC_GDP	0.042 (0.135)	−0.093 (0.133)	0.068 (0.137)	0.026 (0.053)	0.007 (0.057)	0.026 (0.053)	0.239*** (0.079)	0.278*** (0.076)	0.234*** (0.076)
EXP_MILITARY_GDP	−0.090 (0.167)	0.123 (0.141)	−0.003 (0.153)	−0.114** (0.057)	−0.009 (0.054)	−0.015 (0.051)	−0.132 (0.097)	−0.086 (0.098)	−0.092 (0.094)
CROP_PROD	−0.017* (0.009)	−0.021*** (0.008)	−0.023** (0.009)	−0.0005 (0.004)	−0.004 (0.004)	−0.005 (0.004)	0.021*** (0.007)	0.019*** (0.007)	0.015** (0.007)
EXPORTS	0.071 (0.063)	0.029 (0.061)	0.074 (0.064)	−0.054** (0.022)	−0.079*** (0.022)	−0.064*** (0.021)	−0.021 (0.036)	−0.020 (0.036)	−0.056 (0.036)
FDI	0.034 (0.070)	0.018 (0.060)	0.034 (0.070)	−0.033* (0.019)	−0.041** (0.020)	−0.036** (0.018)	−0.146*** (0.052)	−0.128** (0.051)	−0.162*** (0.051)
FUEL_EXP	−0.027** (0.012)	−0.022* (0.012)	−0.027** (0.012)	−0.003 (0.004)	−0.002 (0.004)	−0.006 (0.004)	−0.002 (0.007)	0.001 (0.006)	−0.004 (0.006)
GDP_GROWTH	−0.026 (0.042)	−0.060 (0.040)	−0.013 (0.042)	−0.071*** (0.017)	−0.073*** (0.017)	−0.074*** (0.016)	0.063** (0.027)	0.060** (0.026)	0.062** (0.026)
TRADE_GDP	−0.049 (0.033)	−0.025 (0.033)	−0.053 (0.035)	0.014 (0.012)	0.026** (0.012)	0.023** (0.012)	−0.009 (0.019)	−0.007 (0.019)	0.013 (0.019)
GLOBALIZATION	0.037 (0.026)	0.042* (0.023)	0.059** (0.027)	0.077*** (0.012)	0.082*** (0.012)	0.083*** (0.011)	0.019 (0.014)	0.013 (0.014)	0.019 (0.013)
POLITICAL_RISK	0.829 (1.689)	0.857 (1.311)	−1.108 (1.397)	0.088 (0.700)	−1.413** (0.577)	−1.063** (0.531)	−1.306 (0.833)	−1.168 (0.771)	−1.039 (0.813)
VETO x nd	−0.339 (0.514)			−0.237 (0.172)			−0.040 (0.246)		
ELEC_COMP x nd		0.092*** (0.033)			0.026** (0.012)			0.009 (0.015)	
LEG_FRAC x nd			1.348 (2.583)			4.778*** (0.906)			4.140*** (1.264)
Constant	−0.705 (1.504)	−0.101 (1.406)	0.133 (1.718)	−4.072*** (0.705)	−3.317*** (0.695)	−2.393*** (0.696)	−0.742 (1.035)	−1.071 (1.037)	0.004 (1.073)
Observations	1,125	1,120	1,094	1,125	1,120	1,094	1,125	1,120	1,094
Log Likelihood	−580.259	−559.613	−547.662	−1,228.937	−1,222.402	−1,194.300	−1,304.569	−1,290.065	−1,268.544

*p<0.1; **p<0.05; ***p<0.01

Table 2. Zero Hurdle Logit

	Dependent variable:								
	ASSERT1		M3	M4	ASSERT2		M7	ASSERT3	
	M1	M2			M5	M6		M8	M9
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)
VETO	0.073 (0.104)			-0.076 (0.089)			0.438*** (0.090)		
ELEC.COMP		-0.002 (0.010)			0.006 (0.008)			-0.012 (0.007)	
LEG.FRAC			-0.628 (0.788)			-0.233 (0.641)			-1.265** (0.593)
nd	0.378 (0.242)	-3.835*** (1.079)	-4.781*** (1.085)	0.937*** (0.207)	0.193 (0.705)	-2.473*** (0.783)	0.431** (0.199)	-1.394** (0.692)	-2.346*** (0.728)
DEMOCRACY	0.053 (0.047)	0.058 (0.056)	0.053 (0.051)	0.043 (0.038)	0.034 (0.044)	0.063 (0.039)	-0.068* (0.037)	-0.084** (0.043)	-0.098*** (0.037)
PR	-0.572** (0.236)	-0.645*** (0.230)	-0.738*** (0.242)	-0.225 (0.209)	-0.214 (0.212)	-0.204 (0.214)	0.024 (0.200)	-0.136 (0.191)	-0.175 (0.194)
EXP_EDUC_GDP	-0.043 (0.078)	-0.091 (0.082)	-0.058 (0.081)	0.067 (0.061)	0.066 (0.061)	0.120* (0.063)	0.132** (0.059)	0.165*** (0.062)	0.203*** (0.063)
EXP_MILITARY_GDP	-0.002 (0.080)	0.043 (0.080)	0.040 (0.084)	-0.068 (0.072)	-0.061 (0.074)	-0.053 (0.076)	0.189*** (0.062)	0.217*** (0.064)	0.213*** (0.068)
CROP_PROD	-0.013** (0.006)	-0.014*** (0.006)	-0.014** (0.006)	0.003 (0.005)	0.004 (0.005)	0.004 (0.005)	0.007 (0.004)	0.005 (0.004)	0.003 (0.005)
EXPORTS	0.070** (0.030)	0.050* (0.030)	0.058* (0.031)	0.107*** (0.022)	0.104*** (0.022)	0.091*** (0.023)	0.054** (0.022)	0.056** (0.022)	0.052** (0.022)
FDI	-0.081*** (0.030)	-0.107*** (0.034)	-0.088*** (0.031)	-0.020 (0.026)	-0.027 (0.026)	-0.026 (0.028)	-0.008 (0.023)	-0.002 (0.025)	0.003 (0.024)
FUEL_EXP	-0.020*** (0.006)	-0.018*** (0.006)	-0.022*** (0.006)	-0.025*** (0.005)	-0.023*** (0.005)	-0.024*** (0.005)	-0.022*** (0.004)	-0.021*** (0.004)	-0.023*** (0.005)
GDP_GROWTH	-0.027 (0.029)	-0.024 (0.029)	-0.031 (0.030)	-0.014 (0.025)	-0.012 (0.025)	-0.006 (0.026)	0.006 (0.024)	0.012 (0.024)	0.019 (0.024)
TRADE_GDP	-0.054*** (0.016)	-0.041** (0.016)	-0.044*** (0.017)	-0.070*** (0.012)	-0.067*** (0.012)	-0.060*** (0.013)	-0.047*** (0.012)	-0.051*** (0.012)	-0.049*** (0.012)
GLOBALIZATION	0.063*** (0.015)	0.059*** (0.015)	0.063*** (0.016)	0.120*** (0.013)	0.118*** (0.013)	0.116*** (0.014)	0.126*** (0.013)	0.123*** (0.013)	0.127*** (0.014)
POLITICAL_RISK	0.943 (0.890)	1.085 (0.792)	1.129 (0.810)	-0.589 (0.742)	-0.317 (0.657)	-0.194 (0.675)	-1.162 (0.729)	-2.791*** (0.653)	-2.928*** (0.668)
VETO x nd	-0.213 (0.279)			-0.102 (0.228)			-0.829*** (0.228)		
ELEC.COMP x nd		0.084*** (0.020)			0.016 (0.014)			0.042*** (0.014)	
LEG.FRAC x nd			7.706*** (1.536)			5.101*** (1.157)			4.683*** (1.084)
Constant	-3.043*** (0.770)	-2.847*** (0.720)	-2.989*** (0.781)	-6.966*** (0.762)	-7.328*** (0.719)	-7.409*** (0.756)	-7.615*** (0.778)	-5.833*** (0.673)	-5.735*** (0.698)
Observations	1,125	1,120	1,094	1,125	1,120	1,094	1,125	1,120	1,094
Log Likelihood	-580.259	-559.613	-547.662	-1,228.937	-1,222.402	-1,194.300	-1,304.569	-1,290.065	-1,268.544

*p<0.1; **p<0.05; ***p<0.01